₹29.8 LAKH CR.
Total value of 2,451 cr. UPI transactions in August 2026

₹20,000 CR.
Annual cost of running UPI, as per industry estimates

₹17,000 CR.
Estimated annual Merchant Discount Rate (MDR) pool

↘ IMPACT: The government says 96% of merchant transactions, by volume, will still remain unaffected

↘ BREAKING APP CONCENTRATION: Dec. 31 is the deadline for enforcing a 30% cap on any single UPI app's share of transaction volume; PhonePe and Google Pay together account for nearly 80% of UPI volume

> **"UPI is a public good. Cybersecurity is part of what a bank does anyway, and UPI has already cut what banks spend on ATMs"**
>
> **ASHWANI MAHAJAN,** *National Co-convenor, Swadeshi Jagran Manch*

and MobiKwik, the new MDR regime comes with both a cost and a potential source of revenue.

The payments industry has not pretended otherwise. Vijay Shekhar Sharma, founder of Paytm, says UPI had been running on a grant basis and is now self-reliant, describing the new design as a "Robin Hood arrangement". The case for charging is familiar. UPI requires continuing investment in technology, cybersecurity and fraud prevention, says Rajnish Kumar, who previously ran the State Bank of India and now chairs Mastercard India and BharatPe. "No ecosystem can be subsidised forever," he adds.

The counterargument is that UPI's value extends beyond the payment itself. R.S. Sharma, founding director general of UIDAI, argues that UPI should remain free at both ends and be financed from the savings it generates for governments and banks. Ashwani Mahajan of the Swadeshi Jagran Manch, the Rashtriya Swayamsevak Sangh's economic wing, calls UPI a public good and argues that cybersecurity is already part of a bank's responsibilities.

THE BENEFIT OF FREE

The easiest way to understand UPI's disruption is to put its QR sticker next to the card terminal it displaced. A card terminal has to be bought or rented, installed and serviced. UPI needs a printed sticker. Cards also came with charges—up to 0.9 per cent on debit cards and 1.5-2.5 per cent on credit cards. India now has about 12 million card terminals, compared with more than 65 million UPI merchants.

But UPI's real achievement was pushing digital payments into places where a terminal was never likely to be installed: the vegetable cart, the auto-rickshaw and districts far from the nearest bank branch. That transformation had several foundations—electrification, cheap data, Aadhaar and Jan Dhan accounts among them. Free payments were the final layer. The government's argument now is that the acquisition phase is over. The habit has formed, consumers still pay nothing and the ecosystem needs a sustainable source of revenue.

Brazil's Pix payment system offers a useful comparison. It charged merchants from the beginning, at an average of 0.33 per cent last year against roughly 2.3 per cent for cards, and has become the dominant way Brazilians pay. But UPI's success was partly built on how quickly it reached the bottom of the pyramid.

THE LITMUS TEST

The first real test will happen at the counter. The framework keeps the smallest merchants outside the charge. The more uncertain group is the layer just above them—tailors, mobile repair shops, small jewellers etc. That creates an incentive to find ways around the fee. A merchant could ask for cash on larger bills, split a Rs 3,800 purchase into two UPI payments, or use a personal number so the transaction is classified as P2P. Each workaround would weaken the formal trail that UPI has created for small businesses. The enforcement problem is equally real. Merchants cannot pass the MDR on to customers, but policing that rule will be harder than writing it into a circular. A PIL challenging the framework has also reached the Supreme Court.

Does it hurt the pitch abroad? The MDR is domestic and does not travel with UPI. Countries using the UPI blueprint will set their own prices. India is selling both UPI's deep penetration and the wider digital public infrastructure behind it. But the pitch that even a poor country could build a payment system that cost its merchants nothing now comes with a caveat.

There is also competition. Thailand's PromptPay is linked to several Southeast Asian payments systems. Project Nexus, of which India is a founding member, is already building a common network to connect countries' instant-payment systems. There is an argument that a priced payment rail may actually be more attractive abroad than one dependent on subsidies.

The next year will show whether the economics work. The QR code on the counter will look exactly the same. What changes is what happens behind it. ■